

LINE 11	25CV466683	PATRICK CASEY et al vs APPLE, INC., a Delaware corporation	Hearing: Demurrer
LINE 12	25CV467217	KIMBERLY MALDONADO et al vs APPLE, INC., a Delaware corporation	Hearing: Demurrer
LINE 13	25CV467837	ELIJAH PADGETT et al vs APPLE, INC., a Delaware corporation	Hearing: Demurrer
LINE 14	25CV467986	PETER KHANBEGIAN et al vs APPLE, INC., a Delaware corporation	Hearing: Demurrer
LINE 15	25CV468145	NICK SPEIGHTS et al vs APPLE, INC., a Delaware corporation	Hearing: Demurrer
LINE 16	25CV468430	Sergeo Perez et al vs Apple, Inc.	Hearing: Demurrer
LINE 17	25CV469657	Max Ulrich et al vs APPLE, INC	Hearing: Demurrer
LINE 18	25CV469662	Linette Frausto et al vs Apple, Inc.	Hearing: Demurrer
LINE 19	25CV469673	Kerrie Stemer et al vs Apple, Inc.	Hearing: Demurrer
LINE 20	25CV471234	KENNETH MENDOZA et al vs APPLE, INC., a Delaware corporation	Hearing: Demurrer

Calendar Line 1 Calendar Lines 1-2

Case Name: *In re Hewlett Packard Enterprise Co. Shareholder Litigation*

Case No.: 19CV353132

This consolidated class action arises from alleged misrepresentations and omissions in the offering materials issued in connection with an April 2017 transaction for Defendant Hewlett Packard Enterprise Company (“HPE”). The transaction occurred when HPE’s Enterprise Services business segment was spun off and merged with Computer Sciences Corporation, Inc. (“CSC”) to form Defendant DXC Technology Company (“DXC”) (the “Merger”).

Before the Court is (1) Plaintiffs’ motion for final approval of class action settlement; and (2) Plaintiffs’ motion for attorneys’ fees and costs, which are both unopposed. As discussed below, the Court GRANTS the motions.

I. BACKGROUND

In the operative SAC, Plaintiffs allege that the Offering Materials misrepresented the nature, extent, and severity of the incoming management team’s touted \$1 billion “workforce optimization” plan, characterizing it as targeting “duplicative” employees to “optimize” the Company’s workforce, “improve execution in sales performance, enhance . . . [the Company’s] ability to provide value to its customers through a broader range of resources and expertise,” “retain” workers “with the skills necessary to serve their customers,” and thereby achieve billions in “synergies” and increased goodwill. (SAC, ¶ 4.) But rather than “cutting \$1 billion worth of duplicative employees, Defendants planned a \$2.7 billion mass layoff of DXC’s older, most essential and experienced employees, offloading their higher salaries to inflate reported earnings ahead of tens of millions of dollars in insider sales.” (*Id.*, ¶ 5.) “[O]ver the months and years following the Merger, the consequences of the undisclosed mass layoff plan were predictable: an impaired workforce without the experience, know-how, capabilities, and customer relationships necessary to effectively service, maintain and develop DXC’s business.” (*Id.*, ¶ 6.) This ultimately resulted in an over 50 percent decline in the value of DXC shares from the time of the Merger. (*Id.*, ¶ 17.)

In an effort to cure the deficiencies identified in the FAC, Plaintiffs allege that “[a]s former DXC employees would later admit, the actual plan and its undisclosed nature and severe risks were discussed among Company executives before the Merger. Ahead of the Merger, particular senior (i.e., over-40) employees had already been marked for termination, and Defendants had already retained a consulting firm to begin executing the planned mass layoff of older, higher paid employees immediately after the Merger. Indeed, within days of the Merger close, Defendants began disproportionately terminating older, more experienced (but in truth essential) employees *en masse*.” (SAC, ¶ 9.)

A. Age-Targeted Layoffs at CSC/HPE

Plaintiffs allege that the age-targeted layoff plan for DXC was a continuation of the approach of both CSC and HPE prior to the merger. The Equal Employment Opportunity Commission filed a lawsuit against CSC in December 2020 alleging that between 2012 and